Investment Proposal

PayPay Corporation

1. Executive Summary

This report recommends investing US$800 million in PayPay for a 16.31% ownership stake, based on a pre-money valuation of US$4.11 billion. The investment aims to capture growth in Japan's expanding digital financial ecosystem while supporting PayPay's transition into a full-service fintech platform.

PayPay is the leading QR-code payment platform in Japan, benefiting from strong network effects, a large user base, and strategic partnerships such as its integration with LINE. As Japan continues shifting towards cashless payments, PayPay is well positioned to capture growth in a high-potential market.

A key driver of long-term value lies in PayPay's expansion beyond payments into financial services, including lending, banking, and investment products. While payments operate on low margins, these adjacent services enable improved monetisation and support margin expansion, positioning PayPay as a higher-value, diversified fintech platform.

The proposed valuation of $4.11 billion reflects a triangulation of multiple valuation approaches and implies a reasonable entry point relative to PayPay's scale, growth potential, and pathway to IPO readiness. The investment provides exposure to upside as the company continues to scale its ecosystem and monetisation capabilities. Proceeds will primarily support expansion into financial services, technology infrastructure, and market share growth within Japan's mobile wallet segment. The structure incorporates key protections, including staged capital deployment tied to performance milestones, a 1x liquidation preference, and governance rights that ensure investor oversight while limiting downside risk.

Key risks include concentrated ownership under SoftBank, potential competitive pressure due to low switching costs, and execution risks associated with scaling financial services. These risks are partially mitigated through proposed investment terms and PayPay's established market position.

2. Background

2.1. Current owners, management team, personnel and compensation

As of 2 March 2026, PayPay's ownership was concentrated among B Holdings Corporation (49.99%), SVF II Piranha (DE) LLC (34.00%), SoftBank Corp. (8.01%) and LY Corporation (8.01%). SoftBank-controlled entities were expected to retain 91.78% of voting power post-IPO, leaving PayPay effectively a controlled company (PayPay Corporation 2026a). PayPay's governance is relatively developed, with a board of nine directors, a four-member Audit and Supervisory Committee, and voluntary nominating and remuneration committees with a majority of outside directors, supported by an Internal Audit Department of 15 staff (PayPay Corporation 2026a).

Management depth is solid, with CEO Ichiro Nakayama leading since inception and CFO Wataru Kagechika bringing Mizuho and SoftBank experience (PayPay Corporation 2026a). Executive pay combines fixed and performance-linked compensation on a 50:50 basis, with FY2025 aggregate compensation of ¥637.8 million and stock-option plans aligning incentives with shareholders (PayPay Corporation 2026a).

2.2. Market and industry competitiveness analysis

The Japanese market in cashless transactions is expanding. The cashless payment ratio reached 51.7% in 2024, up from 29.8% in 2018 (METI 2025). QR code payments represent a rapidly growing segment, accounting for 9.6% of total cashless value at ¥13.5 trillion. With a government target of 80% cashless penetration, the industry remains in a strong growth phase.

PayPay is the largest digital payment platform, handling 7.46 billion transactions in 2024 and maintaining a two-thirds share of domestic digital payments since 2020 (PayPay Corporation 2025a). Its scale is reflected in its 72 million users, including 38.9 million verified users, supporting its competitive position (PayPay Corporation 2026a).

PayPay's competitors in the Japanese market are Rakuten Pay and d-Barai. However, PayPay still dominates the competition, with 65.1% of barcode payment consumers using PayPay, followed by 36% using Rakuten Pay and 28.6% using d-Barai (MMD Labo 2025). The integration of LINE Pay strengthens its ecosystem by uniting two of Japan's largest e-wallet platforms, although low switching costs mean competition remains relevant (Gehrke 2024).

2.3. Products and production, and operational strategy

PayPay operates as a fintech platform, with its core product being a QR code payment app for users and merchants, either physical or online. PayPay also expanded beyond the regular QR-based payments by integrating PayPay Card, PayPay Bank, and investment services (PayPay Corporation 2026a).

Its major production strategy focuses on increasing user value through integrated financial services to drive engagement and payment frequency. For instance, PayPay Bank Balance enables direct payments without top-ups (PayPay Corporation 2025b). For merchants, PayPay's operating strategy offers incentives for merchants, such as PayPay Points, letting merchants use points for promotions. Additionally, PayPay has integrated AI to estimate funding capacity and provide merchants with cash advances in very little time (PayPay Corporation 2024).

Additionally, PayPay supports tourism monetisation by enabling merchants to accept overseas payment apps through a unified QR system, improving accessibility for both merchants and users (PayPay Corporation 2023).

2.4. Investment Thesis

The market dominance in Japan's QR code payment presents a strong case for investing in PayPay. Its scale, partnerships, and network effects create a competitive advantage that is difficult to replicate, reinforcing its ecosystem as cashless adoption increases. Beyond payments, expansion into financial services such as lending, banking, and investment products provides additional upside. While payments are low margin, these services support improved monetisation, long-term profitability, and revenue growth.

However, the investment is not without material risk. PayPay still remains controlled by SoftBank's shareholders, which removes minor investors' control. Low switching costs and competition may pressure market share, while expansion into financial services introduces credit and regulatory risks. Overall, PayPay offers a strong investment opportunity driven by its scalable platform and monetisation potential, balanced against governance and execution risks.

3. Financial Analysis, Projections and Valuation

3.1. Comparable Valuation

KakaoPay (Korea) and Shift4 Payments (US) are selected as comparable companies to reflect the key economic characteristics of PayPay's business model.

KakaoPay operates as a digital payment and fintech platform, offering mobile wallet services, merchant payments, and a range of financial services with a business model centred on a two-sided ecosystem monetising both users and merchants through transaction-based activities (KakaoPay Corp. 2021, Vizologi n.d.). Shift4 Payments operates as a payment processing and commerce platform providing end-to-end solutions to merchants, with revenue primarily driven by transaction processing fees alongside software and integrated service monetisation (Boboev 2025).

Both firms generate revenue primarily from transaction-based fees (Appendix A), aligning with PayPay's payments-led model, while offering complementary exposure across the value chain, with KakaoPay representing a platform ecosystem and Shift4 pure payment processing. Both operate at a late-growth stage, with comparable scale, strong growth, and improving margins driven by ongoing investment. Japan, Korea, and the United States are developed markets with advanced payment infrastructure and strong regulatory frameworks, providing a comparable environment for valuation (Market Research Future 2026a, 2026b). No direct Japan-based comparables are selected due to PayPay's dominant domestic position, which limits the availability of similarly scaled listed peers (PayPay Corporation 2026a).

Given these characteristics, EV/Revenue is adopted as the primary valuation multiple, as it best captures growth and transaction-driven scalability across differing business models.

Item	Min	Max	Average
Implied EV	$3,515.76	$8,696.28	$6,106.02
Equity Value (pre-money)	$3,126.92	$8,307.44	$5,717.18
Discounted Value	**$2,501.53**	**$6,645.95**	**$4,573.74**

Figure 1: Comparable Valuation Table

The comparable valuation implies an average PayPay equity value of US$4.57 billion based on EV/Revenue.

3.2. Discounted Cash Flow (DCF) Valuation

Given its primary focus on the domestic market, PayPay operates within Japan's mobile payment industry, which is estimated to reach approximately US$0.36 trillion, growing at a 5-year CAGR of 31.4% through to 2031 (Mordor Intelligence 2026). Within this, the mobile wallet segment accounts for 47.83% of total digital payments (Mordor Intelligence 2026).

As of March 2025, PayPay holds a dominant 64% share of the code-based payment/mobile wallet market, measured by gross merchandise value (GMV). PayPay's market share is projected to increase to 70% by 2031. This implies a total market share of approximately 33.48% of the overall digital payments market.

PayPay's increase in market share is supported by both market-wide and firm-specific factors. First, as mentioned in background, Japan's mobile payments market continues to experience strong structural growth, driven by rising digital adoption and government initiatives promoting cashless transactions. This creates a favourable environment for leading platforms to consolidate market share. Moreover, PayPay's continued strategic partnerships and integrations with financial institutions such as Sumitomo Mitsui Card, Visa, and Orico enhance its distribution network and user acquisition capabilities, reinforcing its dominant market position through increased accessibility and network effects (PayPay Corporation 2026b). Collectively, these factors support a modest increase in market share over the forecast period.

PayPay's revenue growth is primarily driven by its payments segment, where performance is closely linked to GMV. Accordingly, EBIT is modelled as GMV x take rate x pre-tax margin. Market share, GMV, and pre-tax margin are assumed to grow progressively to reach their steady-state levels by 2031, while the take rate is held constant based on its historical three-year average (2023–2025).

To estimate long-term operating performance, PayPal is selected as a benchmark for operating margin and sales-to-capital ratio, given its similar transaction-based revenue model and mature position in the global digital payments industry (Factset 2026). As such, PayPay's 2031 assumptions reflect a mature, high market share business with stable operations, with modest reinvestment rate.

Aligning with the DCF model, discount rate is estimated using CAPM model (Appendix B). Although PayPay reports borrowings, cash flow evidence shows limited reliance on external financing, with net debt repayments and no significant equity issuance in recent periods (PayPay Corporation 2026a). As such, capital structure is not a primary valuation driver, and the discount rate is approximated using the cost of equity. Levered beta is derived from comparable firms, namely Shift4 Payments and KakaoPay, capturing PayPay's risk profile and the impact of its financial leverage.

Assuming a long-term terminal growth rate of 3%, the DCF valuation yields an equity value of approximately US$2.47 billion (Appendix C). After applying an illiquidity discount, the adjusted equity value is estimated at US$1.98 billion. Sensitivity analysis indicates that PayPay's valuation is highly dependent on long-term assumptions, particularly on the discount rate and terminal growth (Appendix D).

3.3. Other Valuation Techniques

The First Chicago Method is appropriate for PayPay because it is a DCF-based scenario valuation that captures the wide dispersion of outcomes typical of a scaled platform business. Although PayPay has already achieved a significant scale, its long-run value remains highly sensitive to future market share, monetisation and ecosystem expansion. Scenario analysis is therefore more informative because platform businesses are driven by network effects and can produce highly asymmetric outcomes (Nagy et al. 2025).

In the failure case, PayPay is assumed to lose leadership and face stronger competition. Market share falls to 30% and the take rate declines to 1.2%, below the reported 1.61% in FY2025, reflecting weaker pricing power and monetisation (PayPay Corporation 2026a). Pre-tax margin and sales-to-capital are benchmarked to Netstars Co., a smaller player in the market (FactSet 2026). Although this case produces a negative terminal value, it is interpreted as negligible continuing value, consistent with a severely weakened competitive position (Appendix E.2).

In the success case, PayPay is assumed to preserve domestic leadership and expand toward a global position closer to PayPal by 2031. This is supported by its cross-sell potential into financial services and a favourable global digital payment market with a 7.63% CAGR (Statista 2025). Under this upside case, the take rate rises to 1.9% in line with the PayPal benchmark (FactSet 2026), while pre-tax margin is benchmarked to Adyen, a unicorn in the market (PaymentsJournal 2018). The success case is heavily driven by terminal value, which is reasonable because platform businesses often realise most of their value after scale and monetisation mature (Nagy et al. 2025) (Appendix E.1).

Using weights of 10% for failure, 85% for the base case, and 5% for success, the First Chicago Method produces an expected equity value at US$6.5 billion, reflecting PayPay's scalability and asymmetric upside.

Scenario	**PV(FCF)**	**PV of TV**	**EV**	**Probability**	**Weighted value**
Failure	-0.18	-2.69	-2.87	10%	-0.29
Base	0.33	2.53	2.86	85%	2.43
Unicorn	7.98	119.38	127.36	5%	6.37

Final Chicago Method Valuations (USD Billions)	
Expected EV	8.512
Equity Value	8.123
Equity Value (after discount)	**6.499**

Figure 2: First Chicago Valuation Table

The VC Method is also appropriate as it values PayPay from a private growth investor's perspective, pricing today's value against a future exit. A 2031 exit is assumed, with long-term revenue growth derived from FactSet. Exit value is estimated using EV/Revenue multiples, with Shift4 Payments as the lower bound and KakaoPay as the upper bound. A

25% target IRR is applied, reflecting PayPay's strong position in the exit stage. After a 20% illiquidity discount, the VC Method implies a valuation range of approximately US$3.64 billion to US$9.22 billion, the highest among the methods used.

All figures in USD Billions

Comparable firm	EV / Revenue	Exit EV	Exit Equity Value	PV (Equity Value)	Equity Value (after discount)
Shift4 Payments (Min)	1.88	17.77	17.38	4.56	**3.64**
KakaoPay (Max)	4.64	43.95	43.95	11.52	**9.22**

Figure 3: VC Valuation Table

3.4. Historical Financial Analysis

PayPay's revenue consists of three structurally different forms: transaction income (core payment fees), interest income (lending) and gains on financial instruments.

In FY2025, transaction income was over ¥200B (68% of total revenue), making it PayPay's primary recurring driver. However, interest income of ¥88.4B (30% of total revenue) is materially exposed to Bank of Japan (BoJ) monetary policy. With credit card lending rates capped at 15-18% by the Interest Rate Restriction Act (Ministry of Justice 1954), each BoJ rate hike compresses net margins; a significant risk given PayPay's ¥2.28T deposit base and ¥568B in borrowings. The BoJ's successive rate hikes to 0.75% have already driven a 166% increase in PayPay's interest expenses. Rates are expected to rise further, potentially reaching 1.5% (Oxford Economics 2025). Gains on financial instruments (¥5.5B in FY2025) remain a volatile and unreliable cash flow source, with a substantial loss recorded in FY2023 (PayPay Corporation 2026a).

On the cost side, provisions for loan losses remain elevated at ¥23.9B following aggressive credit card limit expansions that raised the NPL (Non-performing Loan) ratio to approximately 5, signaling a willingness to trade credit quality for growth (PayPay Corporation 2026a). Additionally, reported net profit included non-recurring deferred tax benefits, including ¥57.5B in the nine months to December 2025 (PayPay Corporation 2026a). This will not repeat once the deferred tax pool is exhausted. Accordingly, the DCF valuation uses EBIAT, and not net profit, to reflect true operational performance.

3.5. Final Valuation Estimates

The final valuation places the greatest weighting on the Discounted Cash Flow (DCF) method, as it reflects PayPay's underlying operating structure and long-term cash flow generation, aligning with a VC focus on intrinsic value and downside protection. PayPay's cash flows are also exposed to macroeconomic, regulatory, and credit risks, reinforcing the use of a conservative DCF approach. The comparable company method is weighted second, given PayPay's IPO readiness and the availability of relevant public peers.

In contrast, the First Chicago and VC methods yield higher valuations driven by more optimistic assumptions and target returns. While they capture upside potential, their sensitivity to scenarios reduces reliability, resulting in lower weightings.

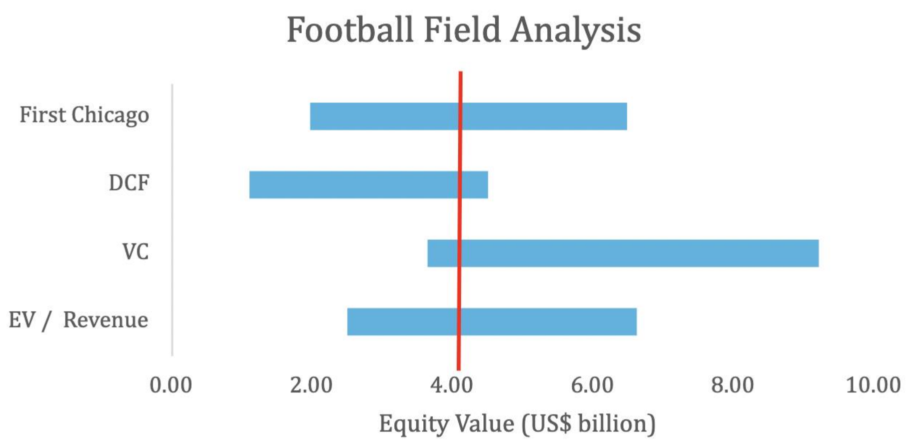

Figure 4: PayPay's Valuation Triangulation Chart

By combining the expected values across all methods and applying an illiquidity discount to reflect PayPay's private market characteristics, the final valuation is estimated at US$4.11 billion, reflecting a balanced view of PayPay's growth potential and its structural risks.

4. Term Sheet

The IPO prospectus benchmarks a capital raise of approximately $555 million (PayPay Corporation 2026a). However, this level of funding may be insufficient given PayPay's strategic expansion into more capital-intensive financial services such as lending and banking. While SoftBank provides strong financial backing, its role is primarily to accelerate growth rather than support ongoing capital requirements. Accordingly, an $800 million investment is proposed, implying a 16.31% ownership stake, justified by the additional capital required to support ecosystem expansion and maintain competitiveness in an evolving fintech landscape.

CAPITALISATION TABLE (POST-INVESTMENT, FULLY DILUTED)					
Shareholder	**Class of Shares**	**OPP**	**Amount Invested ($m)**	**Number of Shares**	**% Ownership (Fully Diluted)**
Existing Shareholders	Common Shares	$5.11	3,135.69	613,638,240	82.03%
Employee Stock Options	Stock Options	–	–	12,436,600	1.66%
Investor	Non-participating Convertible Preferred Shares	$6.56	800.00	121,988,362	16.31%
TOTAL	–	–	**3,935.69**	**748,063,202**	**100.00%**

Figure 5: Capitalisation Table

This investment is structured with standard downside protection and alignment mechanisms. A 1x non-participating liquidation preference ensures capital protection in downside scenarios while maintaining alignment with common shareholders. A broad-based weighted average anti-dilution provision adjusts the conversion price if new securities are issued below the current price, protecting against value erosion. No additional option pool is included, as existing equity incentive structures are considered sufficient given PayPay's mature governance and strong corporate backing.

To manage execution risk, the $800 million investment is staged across two tranches. An initial $500 million is invested at closing, subject to transaction completion and regulatory approvals. The remaining $300 million is contingent on achieving key milestones by 31 December 2026, including GMV exceeding ¥17 trillion, successful launch of lending or banking products, and securing relevant regulatory licenses. This structure reduces investor exposure to PayPay's unproven financial services segment while incentivising management to deliver on strategic objectives.

The proposed control package provides meaningful investor oversight without conferring majority control, which is appropriate given the minority but material ownership stake. Board representation and information rights enhance governance transparency and enable ongoing monitoring of performance and regulatory developments. Protective provisions grant consent rights over major value-affecting decisions, including new senior securities issuance, large financings, strategic changes, and change-of-control events, thereby reducing agency risk.

Further protections address future dilution and ownership changes. Pro-rata rights allow the Investor to maintain its ownership in subsequent capital raises, while right of first refusal and co-sale rights limit undesirable third-party entry and enable participation in liquidity events involving major shareholders. A pay-to-play provision ensures continued investor commitment by requiring participation in future funding rounds to retain anti-dilution protection; otherwise, shares convert to common equity.

Exit provisions are designed to ensure a clear liquidity pathway. The primary exit strategy is an IPO between 2029 and 2031, with a trade sale as a secondary option. Drag-along rights, requiring 60% shareholder approval including a majority of Preferred Shares, prevent minority shareholders from blocking a value-maximising exit. If no liquidity event occurs by 31 December 2032, mandatory redemption at the greater of 1x original purchase price or fair market value provides a defined downside exit.

A detailed term sheet is provided in Appendix F.

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6. Appendix

A – Segment Revenue of Shift4 Payments and KakaoPay in 2025

Company	Transaction-based Revenue	Others	Total Revenue	% of Transaction-based Revenue
Shift4 Payments	3471	709	4180	83%
Kakaopay	476	198	674	70.6%

B – Discount rate calculation

Company	Debt	Equity	D/E	Beta (Levered)	Beta (Unlevered)
Shift4	4616.0	1957.0	2.36	1.49	0.56
Kakaopay	1261.6	1354.3	0.93	1.11	0.67

Input	Value	Source
Average beta (unlevered)	0.62	
Average beta (levered)	1.39	
Risk free rate	1.60%	*Market Risk Premia 2026*
Market Risk Premium	5.30%	

Discount Rate	8.96%

C – DCF calculation

DISCOUNTED CASHFLOW (DCF) VALUATION

	2026	**2027**	**2028**	**2029**	**2030**	**2031**
Total Market	355	466	613	805	1058	1390
Market Share	31.07%	31.54%	32.01%	32.50%	32.98%	33.48%
GMV	110.24	147.03	196.11	261.56	348.86	465.30
Take Rate	1.65%	1.65%	1.65%	1.65%	1.65%	1.65%
Revenue	1.82	2.42	3.23	4.31	5.74	7.66
Pretax Margin	12.82%	13.85%	14.97%	16.17%	17.47%	18.87%
EBIT	0.23	0.34	0.48	0.70	1.00	1.45
Taxes	0.07	0.10	0.14	0.21	0.30	0.43
EBIAT	0.16	0.23	0.34	0.49	0.70	1.01
Changes in revenue	0.26	0.61	0.81	1.08	1.44	1.92
Sales/Capital	2.50	2.50	2.50	2.50	2.50	2.50
Reinvestment	0.11	0.24	0.32	0.43	0.58	0.77

FCFF	0.06	-0.01	0.02	0.06	0.13	0.25
DF @ 8.96%	1.09	1.19	1.29	1.41	1.54	1.67
PV(FCFF)	0.05	-0.01	0.01	0.04	0.08	0.15
Total PV						0.33

TERMINAL VALUE (TV)

Item	Value	Notes
Discount rate (r)	8.96%	
Terminal growth rate (g)	3.00%	*Assuming a 3% terminal growth rate for the market*
Terminal Value (TV)	4.238	
PV(TV)	2.533	
EV	2.860	
Equity Value	2.471	
Equity Value (after discount)	1.977	

D – Sensitivity Analysis

SENSITIVITY ANALYSIS (ON EQUITY VALUE)

Terminal growth \ **WACC**	**7%**	**8.96%**	**11.00%**
2%	3.300	2.085	1.397
3%	4.174	**2.471**	1.599
4%	5.630	3.010	1.859

E – First Chicago calculation

E.1 - Success Case

	2026	2027	2028	2029	2030	2031
Total Market	355	466	613	805	1058	1390
Market Share	26.98%	23.78%	20.96%	18.47%	16.28%	14.35%
GMV	95.72	110.85	128.38	148.68	172.19	199.41
Take Rate	1.20%	1.20%	1.20%	1.20%	1.20%	1.20%
Revenue	1.15	1.33	1.54	1.78	2.07	2.39
Pretax Margin	11.21%	10.58%	9.99%	9.43%	8.90%	8.40%
EBIT	0.13	0.14	0.15	0.17	0.18	0.20
Taxes	0.04	0.04	0.05	0.05	0.06	0.06
EBIAT	0.09	0.10	0.11	0.12	0.13	0.14
Changes in revenue	-0.40	0.18	0.21	0.24	0.28	0.33
Sales/Capital	0.73	0.73	0.73	0.73	0.73	0.73
Reinvestment	-0.55	0.25	0.29	0.33	0.39	0.45
FCFF	0.64	-0.15	-0.18	-0.22	-0.26	-0.31
DF @ 8.96%	1.09	1.19	1.29	1.41	1.54	1.67

Terminal Value		
r	8.96%	*From DCF*
g	2.00%	*Assuming 2% terminal growth*

PV(FCFF)	0.59	-0.13	-0.14	-0.15	-0.17	-0.18	TV	-4.498	*FCFF*(1+g)/(r-g)*
Total PV						**-0.18**	PV(TV)	**-2.688**	*TV/(1+r)^6*

E.2 - Failure Case

	2026	**2027**	**2028**	**2029**	**2030**	**2031**
Total Market	26890	28942	31150	33527	36085	38838
Market Share	0.58%	0.95%	1.55%	2.52%	4.10%	6.67%
GMV	156.93	274.95	481.74	844.05	1478.86	2591.10
Take Rate	1.90%	1.90%	1.90%	1.90%	1.90%	1.90%
Revenue	2.98	5.22	9.15	16.04	28.10	49.23
Pretax Margin	15.19%	19.44%	24.88%	31.85%	40.76%	52.16%
EBIT	0.45	1.02	2.28	5.11	11.45	25.68
Taxes	0.14	0.30	0.68	1.53	3.44	7.70
EBIAT	0.32	0.71	1.59	3.57	8.02	17.98
Changes in revenue	1.43	2.24	3.93	6.88	12.06	21.13
Sales/Capital	2.50	2.50	2.50	2.50	2.50	2.50
Reinvestment	0.57	0.90	1.57	2.75	4.82	8.45

								Terminal Value		
FCFF	-0.25	-0.19	0.02	0.82	3.19	9.52		r	8.96%	*From DCF*
DF @ 8.96%	1.09	1.19	1.29	1.41	1.54	1.67		g	4.00%	*Assuming 4% terminal growth*
PV(FCFF)	-0.23	-0.16	0.02	0.58	2.08	5.69		TV	199.747	*FCFF*(1+g)/(r-g)*
Total PV						**7.98**		PV(TV)	**119.380**	*TV/(1+r)^6*

F – Detailed Term Sheet

PART I: ECONOMICS	
Investment Amount	USD $800 million
Pre-Money Valuation	USD $4.11 billion Derived from triangulated valuation across four methodologies: • Comparable Companies (EV/Revenue): Expected $4.57b (Weight: 30%) • DCF Valuation: Expected $1.98b (Weight: 40%) • First Chicago Method: Expected $6.50b (Weight: 20%) • VC Method: Expected $6.43b (Weight: 10%) **Implied share price: USD $6.56 per share**
Post-Money Valuation	USD $4.91 billion (pre-money valuation + $800m Investment)
Price Per Share	USD $6.56 per Convertible Preferred Share

Shares Issued to Investor	121,988,362 Convertible Preferred Shares
Ownership (Fully Diluted)	16.31% on a fully diluted basis *Compared to ~11% implied by IPO benchmark; the additional 5% reflects the extra capital and strategic value provided.*
Use of Proceeds	• Expansion into consumer lending and banking products • Technology infrastructure and product development • Market share acceleration within the Japanese mobile wallet segment • Working capital and general corporate purposes
Liquidation Preference	1x Liquidation Preference Upon a Liquidation Event, the Investor shall receive the greater of: (i) 1x the OPP ($6.56 per share) plus any declared but unpaid dividends or (ii) the amount the Investor would have received on an as-converted basis. Non-participating: once the Investor elects (i), it does not share further in residual proceeds. The Investor retains the right to convert and participate in the upside if the exit price exceeds the liquidation preference threshold. *Protects the Investor in downside scenarios while avoiding "double-dipping".*
Anti-Dilution	Broad-Based Weighted Average Anti-Dilution If the Company issues additional securities at a price per share below the then-applicable Preferred Share conversion price (a "Down Round"), the conversion price shall be adjusted downward using the broad-based weighted average formula: **New CP = Old CP × (A + C) / (A + D)** *Where A = shares outstanding prior to new issuance, C = shares that would have been issued at Old CP, D = shares actually issued at new price.*
PART II: CONTROL	

Board Control/Seats	The Board shall comprise of ten directors following completion of the transaction. Seven directors shall be appointed by existing shareholders, one director shall be appointed by the Investor and two directors shall be independent directors mutually agreed by the Company and the Investor. For so long as the Investor holds at least 10% of the fully diluted share capital, it shall retain the right to appoint one director. *This structure preserves continuity in PayPay's existing governance arrangements while giving the Investor meaningful board representation and oversight rights appropriate for a minority venture investment.*
Board Observer (Information Rights)	If the Investor does not appoint a director, and while it holds at least 5% of the fully diluted share capital, it may appoint one non-voting board observer. The Investor shall also receive customary information rights. These include annual budgets, quarterly management accounts, audited annual financial statements, and prompt notice of any material litigation, regulatory issue or other event that could materially affect the business. *These rights strengthen monitoring and transparency without giving the Investor day-to-day operational control.*
Protective Revisions (Veto Rights)	The Company shall not take the following actions without approval from 75% of the Board, including the Investor-appointed director and also approval from a majority of the Preferred Shares voting separately as a class: (a) issue new shares with equal or better rights than the Investor's Preferred Shares; (b) change the rights attached to the Preferred Shares; (c) make a material change to the business or strategy; (d) approve a merger, sale of substantially all assets, liquidation, or change of control; (e) declare or pay dividends; (f) incur debt, acquisitions or capital expenditure above an agreed threshold; (g) enter into related-party transactions outside the ordinary course of business; (h) change the size or composition of the Board; or (i) create or expand an employee equity plan beyond the existing scheme. *These veto rights protect the Investor from actions that could materially dilute value or alter the risk profile of the investment.*

Pro-Rata Rights	The Investor shall have the right but not the obligation to participate in future equity issuances on a pro-rata basis. This allows the Investor to maintain its ownership percentage on a fully diluted basis. Customary exclusions shall apply, including shares issued under the existing employee option plan, strategic issuances approved by the Board and shares issued in connection with acquisitions or restructurings. *This provision protects the Investor from dilution in future financing rounds while preserving flexibility for ordinary corporate actions.*
Right of First Refusal	Before any existing shareholder may sell shares to a third party, the Company and then the Investor shall have a right of first refusal to purchase those shares on the same terms. Customary exceptions shall apply for permitted transfer such as transfers to affiliates or family trusts. *This helps maintain cap table stability and reduces the risk of undesirable third parties acquiring a strategic stake in the Company.*
Co-Sale Rights	If a major shareholder sells shares to a third party, and the right of first refusal is not fully exercised, the Investor shall have the right to sell a proportional number of its own shares on the same terms and conditions. *This ensures the Investor can participate in any partial liquidity event and is not disadvantaged if existing major shareholders are able to exit first.*
Exit Control Rights	A liquidation event shall include any merger, consolidation, sale of substantially all assets, sale of a majority of shares or other transaction that results in a change of control. Any such transaction must satisfy the approval thresholds set out in the protective provisions above. *This ensures that any exit or control transaction proceeds only with Investor consent and on terms that protect the value of the Preferred Shares.*
PART III: INCENTIVES	

Pay-to-Play Clause	To maintain their full anti-dilution and protective rights, existing investors (including the Investor) shall be required to participate in any future financing round on at least a pro-rata basis. Non-participating investors shall: • Forfeit anti-dilution protections for the relevant financing round • Have their Preferred Shares converted to Common Shares, effective upon the closing of such financing round. *The pay-to-play clause aligns investor incentives with the Company's long-term funding needs and discourages free-riding by existing investors in future capital raises. Given PayPay's capital-intensive expansion into financial services, maintaining investor commitment to future rounds is critical.*
Staging of Investment	The $800 million investment shall be disbursed in two tranches, conditional on achievement of agreed milestones: • Tranche 1 – $500 million: Disbursed at closing of this transaction, subject to: (i) Execution of definitive transaction documents (Stock Purchase Agreement, Shareholders Agreement, Investor Rights Agreement) (ii) Regulatory approvals as required under Japanese law (iii) Representations and warranties of PayPay being true and correct in all material respects. • Tranche 2 – $300 million: Disbursed upon achievement of the following performance milestones by 31 December 2026: (i) GMV exceeds JPY 17 trillion (approx. USD 110 billion) in FY2026 (ii) Successful launch of at least one lending or banking product with active user base >100,000 (iii) Regulatory approvals (banking/lending licence in Japan) obtained.
Drag-Along Rights	If holders of at least 60% of the outstanding shares (including at least a majority of Preferred Shares) approve a Liquidation Event or Sale of the Company, all other shareholders shall be required to vote in favour of and consent to such transaction on the same terms and conditions. *Prevents minority shareholders from blocking value-maximising transactions.* *Creates clarity around exit rights that improves PayPay's attractiveness to future investors.*

Management Incentives	No new option pool will be created. *The existing Employee Stock Option Scheme (12,436,600 options, representing 1.66% of fully diluted shares) is considered sufficient to incentivise management. No further dilution to the Investor's stake is warranted given PayPay's mature governance structure.*
PART IV: EXIT STRATEGY	
Primary Exit Path	IPO on the Tokyo Stock Exchange or equivalent exchange, expected in 2029-2031.
Secondary Exit Path	Trade sale to a global payments platform, financial institution or technology conglomerate. Prospective acquirers include SoftBank affiliates, PayPal or major Japanese banking groups seeking fintech exposure.
Liquidation / Redemption Rights	If no Liquidation Event or IPO has occurred by 31 December 2032, the Investor shall have the right (but not the obligation) to require the Company to redeem all outstanding Preferred Shares at the greater of: • 1x the OPP per share ($6.56) or • Fair market value as determined by an independent investment bank mutually agreed by the parties. *This mandatory redemption right ensures the investor has a defined exit path consistent with its fund lifecycle.*